



Annual Activity Report 2023

DIRECTORATE-GENERAL FOR DEFENCE
INDUSTRY AND SPACE

Contents

DG DEFIS IN BRIEF	3
EXECUTIVE SUMMARY	4
A. Key results and progress towards achieving the Commission's general objectives and department's specific objectives	4
B. Key performance indicators	8
C. Key conclusions on internal control and financial management	9
D. Provision of information to the Commissioner	9
1. KEY RESULTS AND PROGRESS TOWARDS ACHIEVING THE COMMISSION'S GENERAL OBJECTIVES AND SPECIFIC OBJECTIVES OF THE DEPARTMENT ()	10
2. INTERNAL CONTROL AND FINANCIAL MANAGEMENT	23
2.1. Control results	23
2.1.1. Effectiveness of controls	26
2.1.2. Efficiency of controls	30
2.1.3. Economy of controls	31
2.1.4. Conclusion on the cost-effectiveness of controls	32
2.2. Audit observations and recommendations	32
2.3. Assessment of the effectiveness of internal control systems	33
2.4. Conclusions on the assurance	34
2.5. Declaration of Assurance	35
3. MODERNISING THE ADMINISTRATION	36
3.1. Human resource management	36
3.2. Digital transformation and information management	36
3.3. Sound environmental management	38



DG DEFIS IN BRIEF

The Directorate-General for Defence Industry and Space (DG DEFIS) develops and carries out the Commission's policies on defence industry and space. EU competences and obligations for defence industry action are conferred under the TFEU Title XVII Industry, in particular Article 173(3), and Title XIX Research and development, in particular Article 182(4), Article 183 and the second paragraph of Article 188; and for space under Articles 189 and 4(3) TFEU.

DG DEFIS is responsible for a total budget of EUR 24.74 billion for the period 2021-2027 through:

- the **European Defence Fund (EDF) and its precursors, the European Defence Industrial Development Programme (EDIDP)** and the **Preparatory Action on Defence Research (PADR)**, the EDF and EDIDP largely implemented through direct management by the Commission (mainly grants) and the PADR partially implemented through indirect management by the European Defence Agency (EDA);
- the **Act of Support of Ammunition Production (ASAP)**;
- the **EU Defence Industry Reinforcement through Common Procurement Act (EDIRPA)**;
- the **EU Space Programme and the EU Secure Connectivity Programme**, implemented through direct management by the Commission or through indirect management by the European Union Agency for the Space Programme (EUSPA), the European Space Agency (ESA) and other entrusted entities; and
- **Horizon Europe for Space**, managed by DG DEFIS and the Health and Digital Executive Agency (HaDEA) in cooperation with DG RTD, along with indirect management by EUSPA and ESA.

DG DEFIS relies on external control systems given that most of its budget is managed indirectly via entrusted entities, except the majority of EU defence programmes¹. External auditors validated these systems through pillar assessments, based on the common terms of reference of the Commission, with critical recommendations implemented before any contribution agreements with entrusted entities are signed. This setup integrates the control systems of entrusted entities into DG DEFIS's accountability chain. Beyond the risks related to the direct and indirect spending modes, DG DEFIS must consider external factors beyond its control, like technical (space activity), extraordinary events (e.g., COVID-19 pandemic, Russian war against Ukraine), and security risks.

⁽¹⁾ To note that most of the budget linked to defence initiatives (i.e. EDF and its precursor programmes, ASAP, and EDIRPA) is managed directly.

EXECUTIVE SUMMARY

This annual activity report is a management report of the Director-General of DG DEFIS to the College of Commissioners. Annual activity reports are the main instrument of management accountability within the Commission and constitute the basis on which the College takes political responsibility for the decisions it takes as well as for the coordinating, executive and management functions it exercises, as laid down in the Treaties ⁽²⁾.

The work of DG DEFIS in 2023 is aligned with the 2023 Management Plan and the intervention logic of the Strategic Plan 2020-2024 to achieve the specific objectives and to contribute to the general objectives of the Von der Leyen Commission. DG DEFIS' programmes played a crucial role in enhancing EU security, resilience, sustainability, and reinforcing EU strategic autonomy.

A. Key results and progress towards achieving the Commission's general objectives and department's specific objectives



To respond to the European defence industry's immediate challenges following Russia's military aggression against Ukraine and to build upon the 2022 Versailles Declaration and the 'Joint Communication on the Defence Investment Gap Analysis and Way Forward' ⁽³⁾, two legislative initiatives tabled by the Commission were adopted by co-legislators in 2023: (i) the **Regulation establishing an instrument for the reinforcement of the European defence industry through common procurement (EDIRPA)** ⁽⁴⁾ of EUR 300 million, incentivising Member States to jointly procure most urgent and critical defence products, (ii) the **Regulation on supporting the Ammunition Production (ASAP)** ⁽⁵⁾ of EUR 500 million, aiming at increasing the ammunition and missile production volumes and reduce their delivery lead-time. On 18 October 2023 the ASAP work programme for 2023-2025 was adopted and five calls for proposals were published with an application deadline on 13 December 2023. 82 proposals were submitted. A dedicated Task Force under the aegis of DG DEFIS was set-up in 2023 to evaluate the proposals.

As announced by the President in 2023, a **European Defence Industrial strategy (EDIS)** will be presented in early 2024, transitioning from emergency responses to a steady-state approach to the key, lasting challenges resulting from a considerably changed security landscape. Alongside the strategy, a proposal for a **Regulation establishing a European defence industry programme (EDIP)** is also expected to be tabled, serving as a

(2) Article 17(1) of the Treaty on European Union

(3) JOIN(2022) 24 final

(4) Regulation (EU) 2023/2418 of the European Parliament and of the Council of 18 October 2023 on establishing an instrument for the reinforcement of the European defence industry through common procurement (EDIRPA)

(5) Regulation (EU) 2023/1525 of the European Parliament and of the Council of 20 July 2023 on supporting ammunition production (ASAP)

foundational step toward implementing the Strategy. DG DEFIS spearheads the Commission's efforts in executing the **Action Plan on Military Mobility** aimed at bolstering military movements within the EU and its external borders.

In July 2023, the European Commission selected for funding 41 defence industrial projects under the 2022 **European Defence Fund (EDF)** calls for proposals with a total EU contribution of EUR 832 million. A total of 37 grant agreements were signed by the Commission in December 2023. The European Commission also signed contribution agreements to delegate the implementation, under indirect management, of one development and two research projects to the European Defence Agency (EDA) ⁽⁶⁾ and one development project to the Organisation for Joint Armament Co-operation (OCCAR) ⁽⁷⁾. By 22 November 2023, the Commission received a record 238 proposals for joint defence R&D projects in response to the 2023 EDF calls for proposals, leading to funding awards exceeding EUR 1.2 billion. The EDF 2023 Work Programme introduced new measures to promote defence innovation under the umbrella of the **EU Defence Innovation Scheme (EUDIS)**. In 2023, DG DEFIS continued to manage directly or monitor the implementation of tasks under the related Contribution agreements with OCCAR and EDA for the following projects:

- 101 **EDF 2021 and 2022** research and development projects (8 implemented in indirect management by OCCAR and EDA).
- 42 **European Defence Industrial Development Programme (EDIDP)** projects (2 implemented in indirect management by OCCAR).
- 2 **Preparatory Action on Defence Research (PADR)** projects implemented in indirect management by EDA.

In March 2023, the Commission and HR/VP adopted a joint communication on the **EU Space Strategy for Security and Defence**, recognising space as a strategic domain for the EU. EU **space diplomacy actions** were continued to strengthen Europe's role as a strong global space actor and foster new business opportunities for the EU Space ecosystem.



A Europe
fit for the
digital age

DG DEFIS pursued an innovative and sustainable space policy with a focus on strengthening and safeguarding the EU's sovereignty and security. A major achievement in 2023 comprised the adoption of the Regulation establishing the **Union Secure Connectivity Programme** ⁽⁸⁾ and the speedy roll out of activities under this programme aimed to deploy the 'IRIS²' satellite constellation (Infrastructure for Resilience, Interconnectivity and Security by Satellite). Implementing the EU approach on space traffic management (STM), the STM stakeholder mechanism was set up in 2023 to deliver on the actions under the Joint Communication of 2022. Important Galileo service improvements and new features were announced in 2023 like the **Galileo Open Service Navigation Message Authentication (OSNMA)** and the **Galileo High Accuracy Service (HAS)**. Copernicus initiated the first contracts under the new **Dynamic Purchasing System**, supporting emerging European satellite operators. Ongoing

⁽⁶⁾ EC2 (European Command and Control System), TIRESIAS (Technology Innovation for Radar European SYstemApplicationS), ARMETISS (smARtMultifunction tExtilesfor integrated Soldier Systems).

⁽⁷⁾ E-NACSOS (EU NAvalCollaborative Surveillance OperationalStandard).

⁽⁸⁾ Regulation (EU)2023/588, OJ L 79, 17.3.2023, p. 1–39

Copernicus expansion missions saw progress, with the launch of the first satellites anticipated in 2026. Four **Copernicus thematic hubs** were launched in 2023, and the **Copernicus Data Space Ecosystem**, introduced in 2023, facilitates access to Copernicus data. Additionally, a pilot project for a potential **Earth Observation governmental service** was initiated. Under **Horizon Europe's 2023-2024** work programme (Cluster 4), EUSPA and HaDEA topics opened in late October. Additional projects were awarded from the 2023 HaDEA and 2022 EUSPA calls.

All actions envisaged under the **CASSINI** initiative to support space start-ups and SMEs were fully deployed in 2023.

8 CASSINI Matchmaking events

over 200 start-ups, corporates and investors

CASSINI Maritime Prize

EUR 2.85 million for plastic pollution in aquatic environments

CASSINI Hackathons

600+ participants across 17 countries, including Ukraine

CASSINI Business Accelerator

supporting 40 companies yearly

The Commission also continued to support innovation through its **In Orbit Demonstration and Validation** (IOD/IOV) programme. The **Flight Ticket Initiative** was launched to promote new European launcher systems. In a separate initiative, the Commission awarded contracts of EUR 5 million each to nine New Space companies for Earth Observation data supply to Copernicus Contributing Missions.

DG DEFIS prepared in 2023 the first classified reports **of the EU Observatory of Critical Technologies (OCT)** for civil-defence-space industries, focusing on electronic components and autonomous systems. Additionally, DG DEFIS played a proactive role in screening **Foreign Direct Investments (FDI)** to safeguard against potential security or public order risks associated with non-EU investments in European companies.

In terms of international Earth observation activities, noteworthy collaborations included **Copernicus Cooperation Arrangements** signed with Japan, the Philippines, and Argentina. Additionally, collaborative efforts with DG INTPA, supported by local partners, are underway to establish regional Copernicus data centres in Panama and Chile.

 In 2023, Copernicus remained pivotal for environmental monitoring, supporting the European Green Deal objectives through its **six services**. The **Copernicus European State of the Climate 2022 report**, released in April 2023, gathered significant media attention. The **Copernicus Climate Change Service** and the United Nations' World Meteorological Organisation (WMO) jointly published a **report on the State of the Climate in Europe**. The Copernicus climate change service (C3S) observed a continual rise in users, reaching 250,000 by the year's end. Copernicus services showcased their value in climate adaptation and monitoring at EU side events during the **United Nations' Climate Change Conference of the Parties (COP28)** in Dubai. Copernicus satellite images became mandatory in 2023 for implementing and monitoring national Common Agricultural Policy (CAP) Strategic Plans.

In 2023, the EU's satellite navigation systems, **Galileo and EGNOS**, played a crucial role in supporting the transition to carbon neutrality by offering high-accuracy positioning and

navigation signals, essential for the **optimisation of routes across various modes** of transport and reducing CO2 emissions. Notably, EGNOS-based landing procedures in air transport increased to 935 procedures by year-end. DG DEFIS continued working closely with the civil aeronautics industry, steering the work of the **Alliance for Zero-Emission Aviation (AZE)** to prepare the aviation ecosystem for the commercial use of novel aircrafts leveraging electricity and hydrogen as energy sources. Furthermore, following the 2022 EDF call for proposals, DG DEFIS awarded a project in the 'Energy resilience and environmental transition' category, with another topic in this category included in the 2023 calls for proposals.



DG DEFIS contributes to building Europe's open strategic autonomy in particular through the **GOVSATCOM component** of the EU Space Programme for secure governmental communication, the first building block of IRIS². In 2023, three key Commission implementing acts were adopted setting out the GOVSATCOM services portfolio, the rules on the sharing and prioritisation of satellite communication capacities, services, and security requirements. An innovation partnership procurement of the **GOVSATCOM Hubs**, entrusted to EUSPA, was finalised and activities are on track for GOVSATCOM services to be provided in 2024. Activities progressed under the **Space Situational Awareness (SSA)**⁽⁹⁾ component consisting of three subcomponents: **Space Surveillance and Tracking (SST)**, **Space Weather Events (SWE)** and **Near-Earth Objects (NEO)**. Under the EU SST subcomponent, on 1 July 2023, the EU SST Partnership of 15 EU Member States took over the provision of SST services from the EU SST consortium (7 EU Member States) and the **EU SST Front Desk** was transferred seamlessly from SatCen to EUSPA. Preparatory activities towards the provision of an EU operational SWE services continued, focusing on user needs and studying the impacts of potential services and their technological readiness. To increase preparedness and responsiveness, the physical characteristics of NEOs will continue to be studied.

Copernicus security service is contributing to the protection of critical infrastructure. As proposed in the Space Strategy for Security and Defence, DEFIS launched in 2023 an analysis to develop an **Earth-Observation service for governmental use for sensitive applications**.

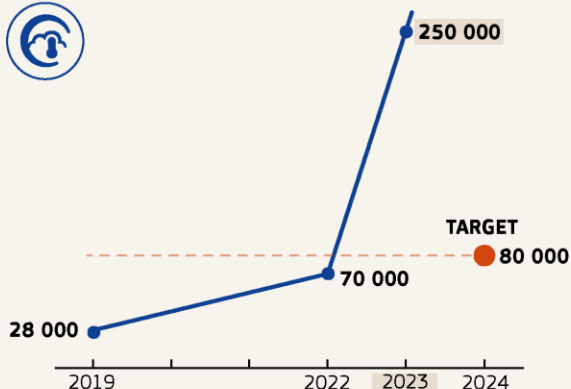
Delivering on the **Security Union Strategy** and working closely with the EEAS, the seventh report on the implementation of the 2016 **Joint Framework on countering hybrid threats** and the 2018 **Joint Communication on increasing resilience and bolstering capabilities to address hybrid threats** was released to the Council in September 2023.

⁽⁹⁾ The SSA component will cover EU SST, SWE and NEO, as well as an overall strengthening of security requirements when developing EU space systems)

B. Key performance indicators

Number of users of the Copernicus Climate Change Service

KPI 1



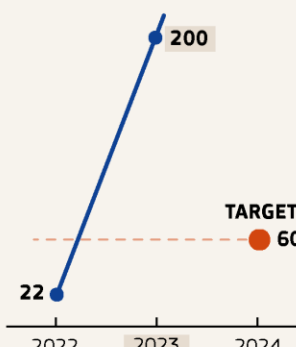
Number of start-ups supported by EU space programmes, including CASSINI initiative

KPI 3



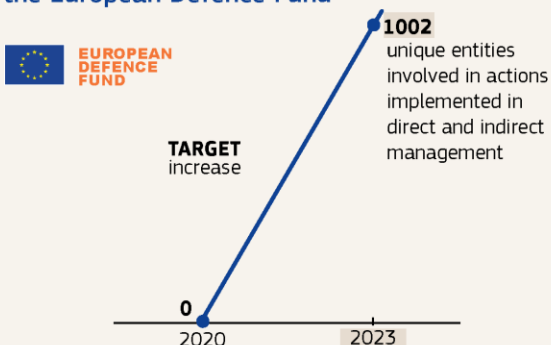
CASSINI

#HorizonEU



Number of legal entities supported by the European Defence Fund

KPI 4



Availability, accuracy, and continuity of services provided by Galileo and EGNOS separately

KPI 2



	2020	2022	2023	TARGET 2024
AVAILABILITY	77%	95.5%	99.2%	99.5%
ACCURACY (95%)				
Horizontal	<=7.5m	<=5m	1.3m	<=4m
Vertical	<=15m	<=8m	2.3m	<=8m
CONTINUITY	No figure for continuity has yet been defined			

Number of operational safety and security (including dual-use) related services from the EU Space Programme

KPI 5



EGNOS



EU SST

GOVSATCOM

- GALILEO Public Regulated Service (PRS) Initial Service will be declared in 2024
- EGNOS Safety of Life (SoL) service
- GALILEO Search and Rescue (SAR) service – with return link feature since 2020
- GALILEO Emergency Warning Service (EWS) will be declared in 2025
- All three components of the Copernicus security service are operational
- The Copernicus emergency management service (rapid mapping, risk and recovery mapping, early warning) is operational
- EU Space Surveillance and Tracking (SST): collision avoidance service, re-entry analysis service and fragmentation analysis service
- EU operational space weather service are expected to be provided by late 2025/ early 2026
- GOVSATCOM is in its testing phase and is not yet fully operational. GOVSATCOM services will start to be provided in 2024

	2020	2022	2023	TARGET 2024
EGNOS				
AVAILABILITY (99%)				
APV-I	Over 99%	-	83.8%	Over 99%
LPV-200	Over 90%	-	80%	Over 95%
ACCURACY (95%)				
Horizontal	2m	-	1.35m	1.5m
Vertical	3m	-	1.88m	2.5m
CONTINUITY (5*10⁻⁴ / 15 sec.)				
APV-I	Over 90%	-	88%	Over 95%
LPV-200	Over 80%	-	83%	Over 85%

C. Key conclusions on internal control and financial management

In line with the Commission's Internal Control Framework, DG DEFIS assessed its internal control systems during the reporting year and concluded that they are effective. The components and principles are present and are functioning well overall. However, some improvements are needed as minor deficiencies were identified related to the internal control principle 17. Please refer to annual activity report Section 2.3 for further details.

In addition, DG DEFIS has systematically examined the available control results and indicators, including those from supervised entities to which it has entrusted budget implementation tasks, as well as the observations and recommendations issued by the internal auditor and the European Court of Auditors. These elements have been assessed to determine their impact on management's assurance about the achievement of the control objectives. Please refer to Section 2 for further details.

In conclusion, management has reasonable assurance that, overall, suitable controls are in place and working as intended. The risks are being appropriately monitored and mitigated and the necessary improvements and reinforcements are being implemented. The control system has been revised in this respect, considering the latest recommendations from the IAS. The Director-General, in his capacity as Authorising Officer by Delegation, has signed the Declaration of Assurance.

D. Provision of information to the Commissioner

In the context of the regular meetings during the year between the DG and the Commissioner on management matters, the main elements of this report and assurance declaration, have been brought to the attention of Commissioner Thierry Breton, responsible for the Internal Market.

1. KEY RESULTS AND PROGRESS TOWARDS ACHIEVING THE COMMISSION'S GENERAL OBJECTIVES AND SPECIFIC OBJECTIVES OF THE DEPARTMENT ⁽¹⁰⁾

In accordance with the new corporate criteria for a strengthened common control approach to provide reasonable assurance on the reliability of performance information for EU financial programmes, the performance indicators reported in this section are collected and controlled by DG DEFIS in compliance with the principles established in the 'data governance and data policies' at the European Commission ⁽¹¹⁾. Their reliability is ensured in particular by controls of the work performed by the entrusted entities (indirect management), including through periodical monitoring meetings and the verification of periodic reports to check consistency, completeness and reliability/plausibility. Additional measures are taken to increase the data consistency, like the monitoring of data users' feedback.

A. European Green Deal

Specific objective 1.1: The reliable data and services of the EU Space Programme are cornerstones for the monitoring of, and transition to climate-neutrality and ecological sustainability



 The **EU Space Programme** and in particular **Copernicus** through its 6 services, provide reliable open monitoring data supporting the EU's 2050 climate-neutrality and sustainability objectives. In 2023, DG DEFIS ensured EU space-based services' inclusion in **cross-policy legislative initiatives**:

- the **EU biodiversity strategy for 2030**: Copernicus-data solutions aid ecosystem preservation, soil and ocean health understanding, crucial for food security and carbon sequestration. The C3S, providing continuous climate monitoring, offered reliable information on indicators like temperature, sea ice, and CO₂ throughout 2023. The number of C3S users continues to increase, reaching 250 000 EU users by the end of 2023. The Copernicus Marine Service (CMEMS) continued development of ocean monitoring indicators and SGD indicators specifically developed for EUROSTAT under the Sustainable Development Goal 14 ('Life below water') on climate impact on water acidification and eutrophication.
- the **EU climate mitigation strategy**: The fifth Copernicus 'European State of the Climate' Report, issued in April 2023, garnered widespread media attention,



⁽¹⁰⁾ An Executive Agency uses as heading: "Implementation of the Agency's Annual Work programme - Highlights of the year".

⁽¹¹⁾ At the end of 2022, the Internal Audit Service (IAS) performed an audit on the Commission's control system in relation to the reliability of performance information on EU financial programmes. In its audit findings, IAS identified DG DEFIS among the few DGs that presented clearly control results related to reliability of reporting and assessed the effectiveness of those controls in their AAR.

emphasising the EU's globally recognised and trusted role as a provider of climate data.

- a **sustainable blue economy**: DG DEFIS, with DG RTD and DG MARE, continued the development of a Digital Twin Ocean (DTO), building on Copernicus data and information services. The Copernicus Marine Service published its 7th Ocean state report. ⁽¹²⁾
- the **EU Regulation on deforestation-free supply chains**: the Copernicus Land Monitoring Service supports the implementation of the Regulation and the establishment of a tropical forest observatory, providing mid-term near real time products on forest cover change.
- the **EU sustainable and smart mobility strategy**: throughout 2023, Galileo provided high accuracy positioning and navigation signals for efficient routes in various transport modes (cars public transport and boats), reducing fuel consumption and CO2 emissions. Galileo, especially in road navigation, could save approximately 5 billion liters of fuel ⁽¹³⁾. EGNOS streamlined flight routes, cutting fuel usage and CO2 emissions, with EGNOS landing procedures available at 935 airports in 2023.



935 EGNOS-based
landing procedure



The cooperation between Copernicus and the **Destination Earth** ⁽¹⁴⁾ (DestinE) project continued, co-led by DG CNECT, DG DEFIS, DG RTD and the JRC). DestinE builds on Copernicus to create dynamic '**Digital Twins of the Earth**,' supporting simulations for the green transition and disaster planning with high resolution. Initial results from DestinE Phase I highlight its potential to drive the digital transformation of Copernicus.

In 2023, DG DEFIS spearheaded the Alliance for Zero-Emission Aviation's initial phase, targeting the identification of barriers and requirements for aircraft using novel fuels like electricity and hydrogen. This involved six working groups delivering preliminary results. The Alliance convened a successful General Assembly in June 2023 at the Paris Airshow, attended by Commissioner Breton, with over 150 members encompassing the aviation ecosystem and beyond, including energy producers.



Following the 2022 EDF call for proposals, DG DEFIS awarded one project in the category 'Energy resilience and environmental transition' (ENERENV) and the 2023 calls for proposals included one topic in the ENERENV category. At the same time, EDF Work Programme 2023 contains one call for proposals focused on innovative propulsion systems for defence applications.



Communication Under the Swedish Presidency of the Council of the EU, DG DEFIS organised a high-level conference celebrating the 25th [Anniversary of Copernicus](#) and its planetary benefits. In 2023, the successful travelling exhibition on 'Space

⁽¹²⁾ 7th edition of the Copernicus Ocean State Report (OSR7), Copernicus Publications, State Planet, 1-osr7, <https://doi.org/10.5194/sp-1-osr7,2023>

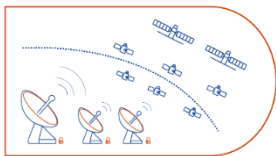
⁽¹³⁾ European Commission's Internal Study. "Analysis of the Environmental Impact of the EU Space Programme", (2020), page 88

⁽¹⁴⁾ <https://ec.europa.eu/digital-single-market/en/destination-earth-destine>

for Our Planet’ ⁽¹⁵⁾ continued, entering partnerships with cities around the world to showcase space technologies contributing to Sustainable Development Goals. Attracting over 50,000 participants, it featured in 12 locations worldwide. The #EarthArt exhibition, displaying Copernicus images illustrating climate change impacts, toured 12 European cities. The strengthened AGRI-SANTE-DEFIS partnership promoted EU space-based applications and highlighted space’s significance for the sector at major fairs in Paris, Rueda, and Brussels. The added value of Copernicus services in the context of climate adaptation and monitoring were showcased at numerous EU side events of the United Nations’ Climate Change Conference of the Parties (COP28) in November-December 2023 in Dubai (UAE).

B. Europe fit for the digital age

Specific objective 2.1: Modern and well-functioning EU space-enabled services to support the Union’s priorities



On 15 March 2023, the Regulation establishing the **Union secure connectivity programme** for 2023-2027, (**IRIS²** - Infrastructure for Resilience, Interconnectivity and Security by Satellite), was adopted. IRIS² is a priority initiative and the focus in 2023 was on specifying the legislative framework, resulting in several implementing acts including the work programme for 2023 -2027 ⁽¹⁶⁾, the service portfolio characteristics, the operational requirements and rules for governmental services ⁽¹⁷⁾, the general security requirements ⁽¹⁸⁾, on the conclusion of agreements on the transfer of rights to use the ITU filings ⁽¹⁹⁾, and on the registration of the trade mark IRIS² ⁽²⁰⁾. Additionally, budget implementation tasks were entrusted to the European Space Agency⁽²¹⁾. The IRIS² programme activities began with the publication of a concession contract tender ⁽²²⁾ in March 2023, by a competitive dialogue with industry. The public-private partnership between the Commission and the private sector is expected to facilitate joint investment in infrastructure design, development, deployment, and operation. To deploy the **ground infrastructure**, calls for expression of interest to determine the location of the IRIS² sites and the sites of the EU GOVSATCOM hubs were launched in 2023. **Initial governmental services** are expected by the end of 2024, using a phased approach and building upon the GOVSATCOM component of the EU space programme which constitutes the first building block of IRIS².

DG DEFIS is promoting an innovative and sustainable space policy and is actively pursuing the implementation of the **EU approach on space traffic management (STM)** through ten actions in four areas: 1) assessing STM requirements of civil and military space operators; 2) enhancing operational capabilities such as SST services and assets through the ‘**EU**

⁽¹⁵⁾ <https://www.space4ourplanet.org/>

⁽¹⁶⁾ C(2023) 1776 final

⁽¹⁷⁾ C(2023) 3202 final

⁽¹⁸⁾ C(2023) 3203 final

⁽¹⁹⁾ C(2023) 8018

⁽²⁰⁾ C(2023) 1028

⁽²¹⁾ C(2023) 4895 final

⁽²²⁾ [European Commission, Tenders Electronic Daily – Services – 173193-2023.](#)

industry and start-ups forum on STM'; 3) developing and promoting regulatory aspects; and 4) promoting the EU STM approach internationally. To this end, **an STM stakeholder mechanism** was set up in 2023. It brings together the fora called for in the Joint Communication ⁽²³⁾ into one comprehensive structure consisting of one main group and four subgroups along the four STM areas facilitating regular stakeholders meetings to gather valuable inputs, ideas, and contributions.

In 2023, DG DEFIS also continued to manage the implementation of **the EU Space Programme**. Galileo showed excellent performance levels and service availability throughout 2023.

Overview of Galileo services

Galileo Open Service (OS): Provides ranging, positioning, and timing information to 3 billion+ Galileo-enabled devices. **New and improved features of the Galileo Open Service 'Signal in Space' completed in 2023 with an update of the service commitments in November 2023.**

Galileo Public Regulated Service (PRS): Galileo navigation service offering to authorised governmental users uninterrupted worldwide positioning, velocity and timing (PVT) solution even in the most serious crisis situations

Galileo High Accuracy Service (HAS): Provides high accuracy corrections for Galileo and GPS. **Initial Services in January 2023 with excellent performance since then.**

Galileo Search and Rescue (SAR) Service: Detects and locates people in distress and communicates their position to Rescue Coordination Centres worldwide.

Galileo Emergency Warning Satellite Service (EWSS) – new 2023: Broadcasts alerts to population.

Galileo Open Service Navigation Message Authentication (OSNMA) – new 2023: Provides authentication of the navigation message (e.g., Smart Tachograph, Telematics, logistics).

Galileo Assisted Commercial Authentication Service (ACAS) – new 2023: Provides positioning authentication.



EGNOS

New and improved features of the **Galileo Open Service 'Signal in Space'** were completed in 2023 with an update of the service commitments in November 2023. Software upgrades were completed for the whole Galileo constellation. The declaration of the Full Operational Capability of the Galileo Open Service has been delayed due to unavailability of suitable launchers to launch Galileo satellites. New dates for this service declaration are under discussion. The updated launch plan foresees two launches of Galileo satellites in 2024. In 2023, EGNOS seamlessly provided services, initially with V2.4.2-A and later with the evolved EGNOS V2.4.2-B from November 2023. The new version includes a station in Kuusamo (Finland), enhancing performance to the current demanding ionosphere conditions, especially in Northern Europe. Development of EGNOS V3 continued with a Critical Design Review for V3.1, aiming to extend services to all EU territories with built-in security and advanced hardware/software technologies. An important contract change was signed in December 2023 to significantly reduce the EGNOS V3 implementation risks.



All **six Copernicus services** operated seamlessly, supporting atmosphere, marine, land, climate change, emergency, and security monitoring. Copernicus data and information are made available to all citizens and organisations around

⁽²³⁾ JOIN(2022) 4

the world on a free, full, and open basis. In November 2023, four thematic hubs related to Energy, Health, Coastal areas and Arctic opened, simplifying access to related data, aiding non-expert users, and supporting EU policy implementation. Service continuity was maintained throughout the reporting year.

In 2023, the Commission started preparatory work towards gradual implementation of a potential future **EU Earth-Observation governmental service**, publishing on 19 June 2023 a Call for Tenders for feasibility studies to explore service options under the next financial framework. DG DEFIS conducted consultations with Member States on their needs and expectations for the service through a questionnaire, bilateral and *ad hoc* meetings with security and defence users. Consultations with the EU Satellite Centre (SatCen) and EUSPA also took place to prepare the pilot within the Copernicus framework, primarily to support EU external and security actions led by SatCen, expected to start in 2024. In 2023, the new innovative **Copernicus Data Space Ecosystem** was launched, facilitating access to Copernicus data and hosting third-party applications. The Copernicus data archive, initially at 34 petabytes, is anticipated to expand to around 80 petabytes in six years.

DG DEFIS decided, in partnership with ESA, to carry out the development of the **six Sentinel expansion missions**, and the Commission confirmed the urgency of deploying the Copernicus CO₂ monitoring satellite constellation as early as possible in 2026 to support the UNFCCC Global Stocktake. Regarding **NewSpace**, on behalf of the Commission, ESA put in place a Dynamic Procurement System tool and carried out a tendering phase to select emerging European Earth observation companies. The first contracts were implemented in 2023. Both initiatives, coupled with substantial ground segment transformations, embracing cloud resources, were successfully completed.



Communication

In 2023, the communication focus was on building confidence on the high quality of the EU space-based services. With a new governance structure within the EU Space Programme, DG DEFIS fostered closer cooperation with ESA, EUSPA and key partners to streamline and reduce costs for communication activities. Special emphasis was placed on promoting IRIS², notably through the organisation of dedicated press events at the European Parliament, and partnerships with organizations like Euractiv.

Specific objective 2.2: EU Space Programme maximises socio-economic benefits



Over 3.5 billion Galileo-enabled devices in use.

The number of Copernicus, Galileo and EGNOS users is steadily on the rise, transforming our societies, modernising transport, enabling precision farming and promoting greener practices in urban and rural areas. Chipsets processing Galileo signals are now widely available, with over 3.5 billion Galileo-enabled devices in use ⁽²⁴⁾ Additionally, the number of registered Copernicus users downloading data and information has risen, reaching 1.2 million registered users for all data and services by Q3 2023.

⁽²⁴⁾ Worldwide users registered on European Copernicus data access portals



DG DEFIS actively promotes European values of equality, diversity and inclusion in the defence and space sectors. Despite persistent obstacles for women in the space sector, a **large-scale Skills Partnership for the space sector** initiated in April 2023 as part of the Pact for Skills seeks to provide **equal and inclusive training opportunities**, with a focus on **increasing participation**, especially among women and young individuals.

The CASSINI program is contributing to gender equality and diversity in space through inclusive **communication, collaboration, balanced event representation**, and a partnership with InvestEU to report on women's involvement in founder teams.

The European Court of Auditor's Special Report 07/2021 found that EU space 'services are launched, but the uptake needs a further boost'. Activities to address the four recommendations were continued in 2023 focusing on the development of a Staff Working Document on the EU Space programme uptake status to be release Q1 2024 and preparatory work for the Space Data Economy Strategy.



Under the **Horizon Europe** (HE) 2023-2024 work programme (Horizon Europe Cluster 4), the 2023 EUSPA topics were opened on 24 October, while the HaDEA 2024 topics were opened on 26 October. EUSPA topics focus on EGNSS and Copernicus applications, along with GOVSATCOM use cases, while HaDEA topics cover Copernicus Land & Water evolution, Security services, SST activities, and Quantum Space Gravimetry phases. In addition to these calls, R&I activities delegated to ESA continued, including EGNSS Upstream, GOVSATCOM, and Space Weather & Near Earth Objects, and initial development activities started on IRIS². HE-supported activities related to Cassini also continued in 2023 (e.g. hackathons, business accelerator, etc.). Other important areas of Space R&I, such as Access to Space and Competitiveness, did not have new topics published in 2023, but had new projects awarded from the 2023 HaDEA and 2022 EUSPA calls. Space R&I activities are managed in a continuum, with new projects building on the results of previous ones and all key areas supported on an on-going basis, while call timings are more punctual. Additionally, under HE work programme, R&I projects are being conducted to enhance **EU SST services** by adapting network architecture, sensors, processing capabilities, and security to accommodate the anticipated rise in active objects in orbit.



All actions under the **CASSINI initiative supporting space start-ups and SMEs** were fully deployed in 2023. The European Investment Fund (EIF) signed agreements with three new venture capital funds under the CASSINI Investment Facility, bringing the total number of CASSINI-backed funds to nine. Notably, EIF participated in a significant funding round for Isar Aerospace, a launcher company, marking one of the largest global investments of that year. Eight physical **CASSINI Matchmaking events** attracted over 200 start-ups, corporates, and investors, while the winners of the CASSINI Maritime Prize received EUR 0.95 million each for their innovative solutions targeting plastic pollution in aquatic environments. Two **CASSINI Hackathons** were held in 2023: one on Space for Defence and Security, and one on International Development and Humanitarian Aid, attracting a total of over 600 participants across 17 countries – including Ukraine as a guest local organiser for the last edition of the



CASSINI Hackathons. The **CASSINI Business Accelerator** was launched, supporting 40 companies, and the Commission continued to foster innovation by offering free testing of space technologies in orbit through its **In Orbit Demonstration and Validation program (IOD/IOV)**, with seven successful experiments launched on 9 October 2023, aboard a Vega VV23 rocket from Kourou's spaceport.

The Commission is also stepping up its role as an anchor customer. It partnered with ESA to kickstart the **Flight Ticket Initiative**, aiming to support new European launcher systems through fair competition and procurement access for European missions, initially focusing on In-orbit Demonstration and Validation. Additionally, the Commission granted EUR 5 million contracts to nine New Space companies to supply Earth Observation data for Copernicus Contributing Missions. These efforts highlight the EU's dedication to fostering a dynamic and competitive space ecosystem while promoting innovation.



As regards **international activities**, successful exchanges were held in the context of Space Dialogues with Japan (January 2023), the US (June 2023), Canada (June 2023) and the African Union (October 2023) underscoring strategic collaborations.

Copernicus Cooperation Arrangements with Japan, the Philippines, and Argentina paved the way for reciprocal sharing of satellite Earth observation data. In satellite navigation, DG DEFIS supported the uptake of Galileo and EGNOS services worldwide and promoted technical cooperation with strategic international partners. Negotiations on a Galileo-PRS (Public Regulated Service) Agreement were concluded with Norway. DG DEFIS continued its cooperation with DG INTPA to support the development of Satellite Based Augmentation System (SBAS) in partnership with ASECNA and Satellite Navigation - Africa Joint Programming Office (JPO). Norway and Iceland submitted requests to start negotiations on agreements allowing them to participate in Secure Connectivity Programme.

Other important contributions to making '**Europe fit for the digital age**' included:



Setting out **a transition pathway for the aerospace and defence ecosystem** to speed up the digital, green and resilient transitions. A public consultation was conducted between 26 July and 3 November. Stakeholders were invited provide an assessment of scale, cost, long-term benefit of the possible areas of actions, commitments and investments to accompany the transition. The results of the public consultation were complemented by further targeted exchanges during a series of workshops. The Transition pathway policy paper is foreseen for adoption during Q1 2024.



The continued implementation of relevant actions under the **Action Plan on Synergies between Civil, Defence and Space Industries** ⁽²⁵⁾. A key example is the launch of EUDIS to deliver on a series of dual-use and innovation actions. Another example is the work with DG MOVE on the publication of the 'Drone Strategy 2.0', focusing in particular on identifying areas of civil-military cross-fertilisation in support of the Drone Technologies Action.

⁽²⁵⁾ COM(2021) 70 final



The EU **Observatory for Critical Technologies (OCT)** has become operational in 2023. The first classified report of the EU Observatory of Critical Technologies (OCT) for civil-defence-space industries containing detailed findings on subsets of two technologies: electronic components and autonomous systems. The report focuses on the application, current and future gaps as well as dependencies and related risks for EU defence, space and related civil value chains for these two technologies. The next step is the development of mitigation measures to reduce the critical dependencies as well as continuous monitoring the supply chains. Analysis of other relevant critical technology areas will continue in 2024.



Working with EEAS, EDA, and DG CNECT, efforts focused on implementing the European Policy on Cyber Defence (EPCD). This involves developing a technology roadmap for critical cyber technologies and enacting the **European Cyber Resilience Act** and the **European Chips Act**, addressing the specific needs of the space and defence sectors. Within the Chips Act, the defence sector is explicitly listed among the 'critical sectors' benefitting from priority in case of crisis. Following the 2022 EDF calls in the categories 'Digital transformation and Cyber', DG DEFIS awarded co-funding to nine projects. In 2023, DG DEFIS launched two calls on the digital transformation of defence-related products and applications. The first focused on energy-efficient AI hardware architectures, while the second targeted agile and robust human language technologies for defence.

DEFIS established a **Task Force on Skills** which is delivered policy actions on skills and contributed to the European Year of Skills (EYS), which takes place between May 9th 2023 and May 8th 2024. These included workshop with the National Defence Industrial Associations in June 2023 and organized an ENDR conference together with the Swedish NDIA (SOFF) in December 2023. DEFIS is also encouraging industry's participation in the Large-Scale Partnership within the Pact for Skills (LSP P4S) and providing policy orientations to the ASSETs+ project.



Communication DG DEFIS expanded its international presence through key events like the 15th European Space Conference and the Paris Air Show, where the EU pavilion showcased synergies within the space, defence, and aeronautics ecosystems. The EU Space Week 2023 was organised in Seville under the Spanish Presidency of the Council of the European Union, with the support of EUSPA. Additionally, efforts were made to promote DEFIS policies beyond the ecosystems, exemplified by the EU pavilion organised by DG DEFIS at the Web Summit.

C. A stronger Europe in the world

Specific objective 4.1: Fostered innovation capacity and competitiveness of the European defence industry and strengthened EU defence supply chains due to increased cross-border R&D cooperation involving in particular SMEs and mid-caps



To address the immediate consequences of the Russia's unprovoked and unjustified military aggression against Ukraine and to follow up on the Versailles Declaration of

2022, as well as the May 2022 **Joint Communication on the Defence Investment Gaps Analysis and Way Forward** ⁽²⁶⁾, the Commission tabled two legislative initiatives:

- First, in July 2022, DG DEFIS put forward the proposal for a short-term instrument (EUR 300 million) under the **European defence industry reinforcement through common procurement act (EDIRPA)** ⁽²⁷⁾, which was adopted by the European Parliament and Council on 18 October 2023. This initiative aims at incentivising Member States to jointly procure the most urgent and critical defence products, allowing the European defence industry to ramp up its production capacities.
- Second, in May 2023, DG DEFIS put forward the proposal for the establishment of the **Act in Support of Ammunition Production (ASAP)** ⁽²⁸⁾ (EUR 500 million) which was adopted by the European Parliament and Council on 20 July 2023. This initiative aims at increasing the volume of production for ammunition and missiles, reduce their delivery lead-time and address potential bottlenecks and/or factors that could delay or impede their supply and production.

As announced by the President of the Commission in her 2023 state of the European Union speech, the Commission and the EEAS will propose a **European Defence Industrial Strategy (EDIS)** early 2024. This strategy aims to transition the EU from ad hoc responses to a more systematic approach in addressing the evolving security landscape and its impact on the European defence industry and equipment market. To inform this strategy, DG DEFIS, in collaboration with the European External Action Service and in coordination with the European Defence Agency, has already conducted an extensive stakeholder consultation of Member states, industry, think tanks and financial sector. Also as announced by the President of the Commission in her speech at the European Defence Agency Annual Conference 2023, DG DEFIS will propose a regulation on **the European Defence Industrial Programme (EDIP)** early 2024, partially starting the implementation of the EDIS.



DG DEFIS continued to manage the **implementation of the European Defence Fund, the Preparatory Action on Defence Research (PADR) and European Defence Industrial Development Programme (EDIDP)**. The EDF work programmes for 2022 (part 2) and for 2023 (part 1) were adopted on 25 May ⁽²⁹⁾ and on 7 June ⁽³⁰⁾ respectively, setting out the detailed objectives, activities and budget spending plans for 2022. A2 The selected proposals following the 2022 EDF calls for proposals were published on 26 June 2023, leading to contract awards for a total EU support of EUR 832 million in 41 defence industrial cooperation projects by December 2023 ⁽³¹⁾. The EDF boosted space defence efforts by supporting R&D actions for defence applications, aligning with EU and Member States' priorities and seeking synergies between space and defence sectors. In response to the 2023 EDF, 238 proposals for joint defence R&D projects were received

⁽²⁶⁾ JOIN(2022) 24 final)

⁽²⁷⁾ COM(2022) 349.

⁽²⁸⁾ COM(2023) 237 final

⁽²⁹⁾ C(2022)3403

⁽³⁰⁾ C(2022) 365)

⁽³¹⁾ https://ec.europa.eu/commission/presscorner/detail/en/IP_22_4595; Information based on currently available data

(increase of +78% from 2022) by 22 November 2023 in response to the 2023 EDF calls for proposals, which will lead to funding awards of more than EUR 1.2 billion.



The **EU Defence Innovation Scheme (EUDIS)** offered EUR 224 million in 2023 to early-stage start-ups and innovators through the EDF and five tailored innovation support tracks. Spin-in calls led to continued collaboration between Commission services and the European Defence Agency to evaluate civil program results for defence potential. A dedicated **Defence Innovation Task Force** was formed, focusing on integrating civil innovation into defence. Notably, interest surged in non-thematic calls for SMEs and disruptive technologies, with applications more than doubling compared to 2022. This underscores the continued appeal of the EDF to smaller companies and newcomers in the defence sector. In December 2023, DG DEFIS officially signed and launched the **EUDIS Hackathons**. Taking place in May 2024, these defence hackathons aimed to attract skills and innovative solutions for the future. The work on the **Defence Equity Facility (DEF)**, under the InvestEU programme and aiming to facilitate access to equity for SMEs and midcaps developing innovative defence technologies, also progressed during 2023. The DEF will be launched in January 2024.



In December 2023, DG DEFIS entered a Contribution Agreement with OCCAR (Organisation for Joint Armament Cooperation) for the Concept Phase of an endo-atmospheric interceptor against new emerging high-end threats (**HYDIS2**). This initiative, managed indirectly, complements the **European Hypersonic Defence Interceptor (HYDEF)** programme. Another Agreement tasked OCCAR with overseeing E-NACSOS, focused on enhancing EU Naval vessels' sea superiority through sensor data exchange.

During 2023, **EDIDP** activities concentrated on readying the capability development window of the EDF. DG DEFIS oversaw 42 projects and monitored task execution under related Contribution Agreements with OCCAR. Regarding **PADR**, all 18 funded collaborative research projects were successfully launched ⁽³²⁾, with 16 completed by year-end 2023. These findings

⁽³²⁾ These projects are the result of 10 calls for proposals published over the three-year duration of the PADR. Through a delegation agreement, 15 projects are managed by the European Defence Agency while three projects with a high disruptive potential in the defence context, such as artificial intelligence and quantum technologies, are managed directly by the Commission)

are already shaping the EDF's implementation, with subsequent projects and calls building on PADR's promising outcomes.

Under the lead of DG DEFIS as coordinator for military mobility, Commission services prepared together with EEAS, including the EUMS, EDA, and Member States, the '**Action Plan on Military Mobility 2.0**' ⁽³³⁾ which was adopted on 10 November 2022. This plan aims to enhance military movements within and beyond the EU. Additionally, a grant agreement was signed in December 2022 for the development of a digital system for secure Military Mobility information exchange, with EUR 9 million in co-funding for a consortium of 9 Member States plus Norway under the EDF Work Programme 2021.



Building on the **Strategic Compass**, a Joint Communication from the Commission and the High Representative on an **EU Space Strategy for Security and Defence** (EU SSSD) was published on 10 March 2023. The strategy aims at developing a shared understanding of space threats, enhancing the resilience of space systems and services in the EU, ensuring the ability of the EU to respond to space threats, enhancing the use of space for defence (including by developing dual-use space capabilities), and developing partnerships for responsible behaviours in outer space. The strategy put forward several concrete actions, including a **proposal for an EU Space law**, the launch of an **EU Space Information Sharing and Analysis Centre** (EU space ISAC), and a pilot for a potential future **EU Earth Observation governmental service**.

In her State of Union address, President Von der Leyen announced the **EU Space Law** among the Commission priority initiatives for 2024. DG DEFIS started preparatory work with a series of consultations, including a targeted stakeholder consultation and a wider public consultation. The draft law addressing aspects of safety, resilience and sustainability of space activities is expected to be tabled by the Commission in the first half of 2024.



In the field of international relations, the Foreign Partnership Instrument-funded '**Global Action on Space**' (June 2021-June 2024) continued delivering services to the EU space ecosystem to boost its internationalisation, namely through the organisation of events, conferences and webinars, market reports, business coaching services and study visits.



Communication DG DEFIS organised the EDF Info Days in Brussels, attracting more than 2000 participants from all over Europe, as well as a matchmaking event. DG DEFIS presented the EDF and EUDIS in numerous events at national or local level. DG DEFIS also ensured strong presence at defence-related events such as at Eurosatory (Paris, FR), DEFEA (Athens, EL) and in the European Network of Defence Regions conferences in Zagreb (HR) and Stockholm (SE). DG DEFIS also played a key role at the 3rd European Defence & Security Conference held in Brussels (BE) in October 2023.

⁽³³⁾ JOIN(2022) 4 final

D. Promoting our European way of life

Specific objective 5.1: Security actors have access to EU autonomous tools, space-enabled services, and technologies, needed to build resilience to security threats, safety hazards and crisis situations.



In an evolving geo-political context marked by instability safety and security, (dual use) space-based services are in high demand. Regarding the **GOVSATCOM component of the EU Space Programme for governmental satellite communications** - the first building block of IRIS² - activities were focused in 2023 on defining the legislative framework. Three key Commission implementing acts were adopted, setting out the GOVSATCOM services portfolio, the rules on the sharing and prioritisation of satellite communication capacities, services and user equipment and on the GOVSATCOM security requirements. To deploy the necessary infrastructure, DG DEFIS oversaw an innovation partnership procurement for the GOVSATCOM Hubs which is entrusted to EUSPA. Simultaneously, downstream research for GOVSATCOM service uptake and upstream technology are being carried out by EUSPA and ESA. With activities on track, GOVSATCOM services are expected by the end of 2024 once the necessary infrastructure of GOVSATCOM has been deployed.

Activities progressed under the **Space Situational Awareness** ⁽³⁴⁾ component, consisting of three subcomponents:

- On **Space Surveillance and Tracking**, the EU SST Partnership of 15 Member States became operational on 1 July 2023 and took over the provision of SST services from the previous EU SST consortium of 7 EU Member States. On the same day, the **EU SST Front Desk** was transferred seamlessly from SatCen to EUSPA, further consolidating the role of the EU Agency in the EU Space Programme. To co-finance future SST activities, the Commission awarded a total of six grants (one on operational aspects, five on research and innovation under Horizon Europe) to the EU SST Partnership ⁽³⁵⁾ supporting EU SST activities for the period 2023-2026.



Source: [STM Factsheet \(europa.eu\)](https://stm.factsheet.europa.eu)

⁽³⁴⁾ The SSA component will cover EU SST, Space Weather and Near Earth Objects, as well as an overall strengthening of security requirements when developing EU space systems)

⁽³⁵⁾ <https://www.eusst.eu/newsroom/signature-eu-sst-grants/>

- Preparatory activities towards the provision of an **EU operational Space Weather service** by 2025 were continued a. A socio-economic study is ongoing to understand the impacts of the potential services and their technological readiness.
- The Member States' capacities to detect and monitor **Near-Earth Objects** were mapped by 2023. To increase preparedness and responsiveness, the most likely deflection missions are being studied. A European catalogue for the physical properties of near-Earth objects is expected in 2025.



Galileo is introducing an innovative **Emergency Warning service** services which is relevant for security actors. In 2023, together with Member States' civil protection entities, work focused on the definition and demonstration of this service with several demonstrations taken place in various Member States. The **Galileo Search and Rescue service (SAR)** continued the work to develop innovative solutions such as the remote beacon activation and two-way communication functionalities.



The **Copernicus Security Service** supports EU policy by providing information in response to Europe's security challenges. It improves crisis prevention, preparedness, and response in three key areas: maritime surveillance (implemented by EMSA), border surveillance, and support to EU External and Security Action. The **Copernicus Emergency Management Service (CEMS)** supports all actors involved in the management of natural or man-made disasters by providing geospatial information to inform decision making. CEMS constantly monitors Europe to forecast, analyse, and provide information for resilience strategies. In 2023 the rapid mapping and the resilience and recovery mapping service was activated 84 times.



Restoring and securing **EU's autonomous access to space** is a priority of the EU space policy. To this end, the European Commission and ESA launched a joint initiative, called **Flight Ticket Initiative**, to create a pool of launch service providers ready to offer such services in the period of 2024–2026. A tendering action launched in October 2023 allowed five companies to enter the pool. The action will be fully operational as of early 2024.



DG DEFIS continued coordinating and mainstreaming activities of Commission services to countering hybrid threats. Working closely with the EEAS, the sixth progress report on the implementation of the 2016 Joint Framework on countering hybrid threats and the 2018 Joint Communication on increasing resilience and bolstering capabilities to address hybrid threats, was released to the Council of the EU on 16 September 2022 ⁽³⁶⁾.



Communication In 2023, DG DEFIS rolled out a strong promotion of services addressing emergency situations, such as the Copernicus EMS in partnership with DG ECHO and DG JRC.

⁽³⁶⁾ SWD(2022) 308

2. INTERNAL CONTROL AND FINANCIAL MANAGEMENT

Assurance is provided based on an objective examination of evidence of the effectiveness of risk management, control and governance processes. This examination is carried out by management, who monitors the functioning of the internal control systems on a continuous basis, and by internal and external auditors. The results are explicitly documented and reported to the Director-General. The following reports have been considered:

- the reports from Authorising Officers by Delegation in other DGs managing budget appropriations in cross-delegation;
- the reports on control results from entrusted entities in indirect management, as well as the results of the Commission's supervisory controls on the activities of these bodies;
- the contribution by the Acting Director in charge of Risk Management and Internal Control, including the results of internal control monitoring at DG DEFIS;
- the recorded exceptions, non-compliance events and any cases of 'confirmation of instructions' (Art 92.3 FR);
- the results of ex-post controls;
- the limited conclusion of the Internal Auditor on the state of internal control, and the observations and recommendations reported by the Internal Audit Service (IAS);
- the observations and the recommendations reported by the European Court of Auditors (ECA).

The systematic analysis of the available evidence provides sufficient guarantees as to the completeness and reliability of the information reported and results in the full coverage of the budget delegated to the Director-General of DG DEFIS.

This section covers the control results and other relevant elements that support management's assurance. It is structured into 2.1. Control results, 2.2. Audit observations and recommendations, 2.3. Effectiveness of internal control systems and resulting in 2.4. Conclusions on the assurance.

2.1. Control results

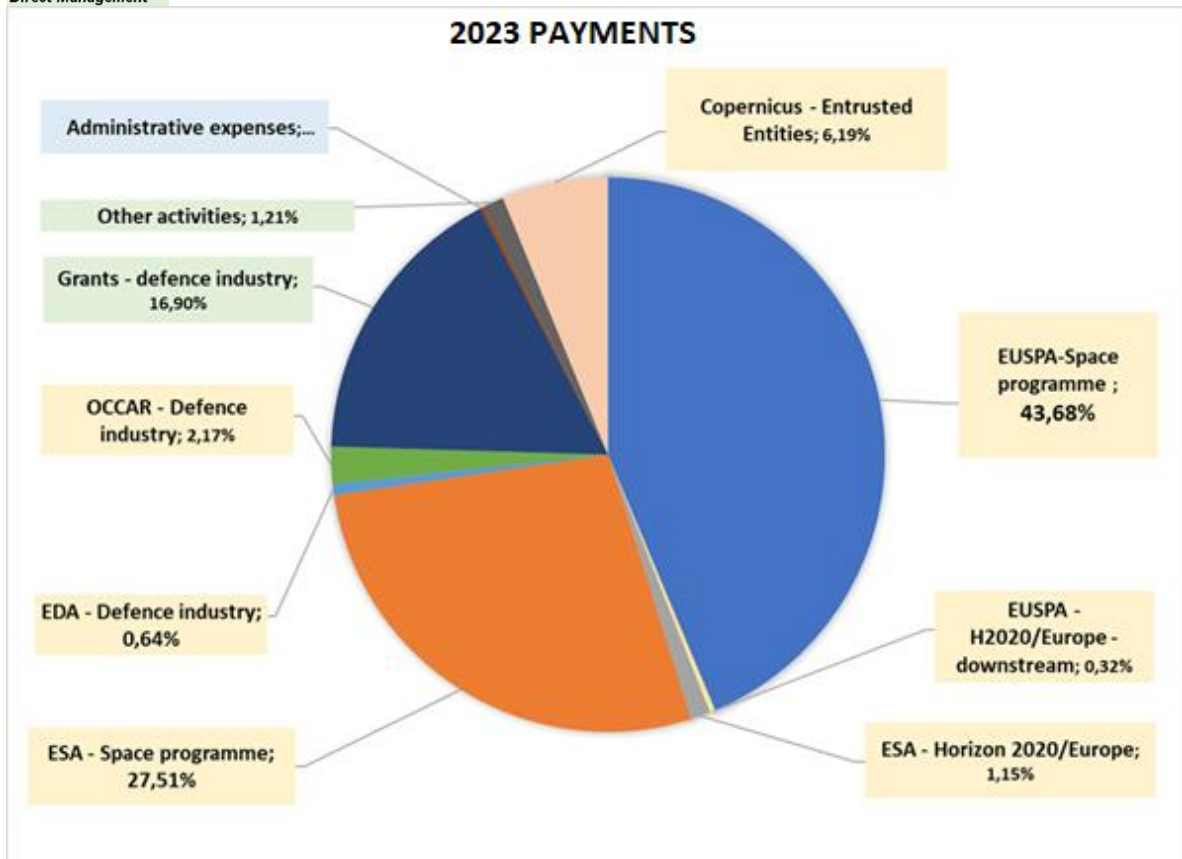
This section reports on the control results used by management to support the assurance on the achievement of the internal control objectives (ICO) ⁽³⁷⁾. The DG DEFIS's assurance building and materiality criteria are outlined in annual activity report annex 5. The annual

⁽³⁷⁾ 1) Effectiveness, efficiency and economy of operations; 2) reliability of reporting; 3) safeguarding of assets and information; 4) prevention, detection, correction and follow-up of fraud and irregularities; and 5) adequate management of the risks relating to the legality and regularity of the underlying transactions, taking into account the multiannual character of programmes as well as the nature of the payments (FR Art 36.2). The 2nd and/or 3rd Internal Control Objective(s) (ICO) only when applicable, given the DG's activities.

activity report annex 6 outlines the main risks together with the control processes to mitigate them and the indicators used to measure the performance of the relevant control systems.

DG DEFIS transactions are carried out under both direct and indirect management modes. The following table and chart give an overview of the main types of expenditure with their respective percentage in the total payments made in 2023. The total amount paid in 2023 amounts to 2.903.835.173 EUR as shown in the table below.

Headings	Activity		Entity / Subsidy	Payments 2023	% on total payments	Main ICO Indicator
Heading 1	Direct Management	Grants	DEFIS	50.781.922	1,75%	Time to pay; Time to grant; Overall cost of Control; No Olaf Cases; Clean opinion on accounts; Detected or estimated error rate
		Procurement	DEFIS	15.132.081	0,52%	
	Indirect Management	Delegation Agreements/ Contribution Agreements	EUSPA	1.481.222.517	51,01%	CA objectives achieved; Time to pay; Overall cost of control; No Olaf Cases; Clean opinion on accounts; Detected or estimated error rate
			ESA	632.973.117	21,80%	
			EUMETSAT	79.753.310	2,75%	
			ECMWF	39.894.000	1,37%	
			MERCATOR	27.741.683	0,96%	
			EEA	13.744.000	0,47%	
			EMSA	12.956.000	0,45%	
			FRONTEX	14.668.000	0,51%	
			SATCEN	4.527.000	0,16%	
	Administrative Expenses		DEFIS	3.123.075	0,11%	
Heading 3	Direct management	Grants	DEFIS	255.484	0,01%	See above
Heading 5	Direct management	Grants	DEFIS	342.377.645	11,79%	See above
		Procurement	DEFIS	1.859.939	0,06%	
	Indirect Management	Delegation Agreements/ Contribution Agreements	EDA	36.922.186	1,27%	See above
			OCCAR	145.251.152	5,00%	
	Administrative Expenses		DEFIS	637.191	0,02%	
Heading 7	Administrative Expenses		DEFIS	14.870	0,00%	
			TOTAL	2.903.835.173	100,00%	



The largest part of DG DEFIS expenditure was implemented in indirect management through contribution agreements especially for Space activities. The main actions under direct management are implemented through grants for the defence programmes. In 2023, 85.74% of the expenditure was implemented in indirect management, 14.13% under direct management. Administrative expenses both for direct and indirect management only amount to 3.7 M EUR (0.13%).

DG DEFIS has cases of financing not linked to costs (Financial Regulation (FR) art 125.3) under the instrument for the reinforcement of the European defence industry through common procurement (EDIRPA) regulation and cases of derogations from the principle of non-retroactivity for grants (FR art 193.2) in the Act in Support of Ammunition Production (ASAP) and EDIRPA. The cases of 'confirmation of instructions' (FR art 92.3) are listed in the DG DEFIS register of exceptions and non-compliance events. DG DEFIS has signed a Financial Framework Partnership Agreement >4 years with EUSPA and ESA (FR art 130.4). DG DEFIS has contracts with flat rates >7% for indirect costs decided by Commission Decisions (FR art 181.6) as PADR, EDIDP and EDF finance indirect costs at a flat rate of 25% and in case of EDF indirect costs may be higher than 25% if they are determined as actual indirect costs. This is included in the financing decision (for PADR) and respective regulations for the other programmes.

2.1.1. Effectiveness of controls

a) Legality and regularity of the transactions

DG DEFIS uses internal control processes to ensure sound management of risks relating to the legality and regularity of the underlying transactions it is responsible for, taking into account the multiannual character of programmes and the nature of the payments concerned.

1) Control objective

The control objective is to ensure that the residual error rate or the risk of error does not exceed 2% for the Space and Defence industry programmes and Horizon Europe. For Horizon 2020, the objective is to ensure that the cumulative residual error rate remains within a range of 2-5 %, aiming to be as close as possible to 2%. DG DEFIS's portfolio consists of different segments all with relatively low error rates.

DG DEFIS and the R&I Family operate on a common audit strategy intended to contribute to the legality and regularity of expenditure on a multi-annual basis, including detection and correction of non-systemic and systemic errors. For Horizon 2020, the Common Audit Service (CAS) of the Common Implementation Centre (CIC) carries out all audits which ensures efficiency gains, a harmonised approach, legal certainty, equality of treatment of beneficiaries and the least audit burden on beneficiaries. The Horizon Europe Audit Strategy is risk-based and draws on the achievements of lessons learnt from Horizon 2020.

It should be noted, however, that due to its multi-annual nature, the effectiveness of the ex-post control strategy of the R&I Family can only be measured and assessed fully in the final stages of the EU Framework Programme, once the ex-post audit strategy has been fully implemented, and errors, including those of a systemic nature, have been detected and corrected.

2) Assessment of the control results

For the 2023 reporting year, no entrusted entities serious control issues were signalled by the operational units regarding the work implemented by Entrusted Entities (79.46 % of the budget). Through the monitoring and supervision work, which included regular contacts and analysis of periodic reports as well as audit reports, no legality and regularity risks were identified.

All DG DEFIS' programmes are multi-annual and consequently the error rates should be considered within a time perspective. Specifically, the implementation of the audit results over time will tend to lower the cumulative residual error rate thus increasing its difference with the representative detected error rate.

Under the Horizon 2020 Framework Programme, the CAS managed to finalise audits on 648 participations corresponding to 100.9% of the 2023 target for H2020.

The Cumulative representative detected error rate for H2020 is 2.57%, resulting in a cumulative residual error rate for the Framework Programme: 1.55%. Given the results of the audit campaign defined actions aimed at significantly simplifying the rules and paving the way for an important reduction of the error rate in Horizon Europe.

For Horizon Europe 2023 (third year of implementation) no representative error rate is available in 2023 as the ex-post audit campaign is planned for launch in 2024, once a meaningful number of payments is available for audit.

3) Supervision of EU bodies (executive agencies, decentralised agencies, and other union bodies).

DG DEFIS has a full control strategy in place to supervise the decentralised agencies and the other union bodies, through ex-ante and ex-post controls, resulting in preventive and corrective measures (see below), respectively.

4) Overview of DG DEFIS' risk profile

DG DEFIS's portfolio consists of segments with a relatively low error rate, i.e 0.65%.

This is, respectively, thanks to the inherent risk profile of the beneficiaries, the funding modalities of the different programmes and the performance of the related control systems.

5) Table (X): Estimated risk at payment and at closure

Based on all the above, DG DEFIS presents in the following Table X an estimation of the risk at payment and risk at closure for the expenditure managed during the reporting year:

DG DEFIS	Payments made	Relevant expenditure	Estimated risk (error rate %) at payment		Estimated future corrections and deductions		Estimated risk (error rate %) at closure	
	m EUR	m EUR	m EUR	%	m EUR	%	m EUR	%
Heading 1 - Grants SPACE	50,78	4,25	0,02	0,50%	0,00	0,00%	0,02	0,50%
Heading 1 - Procurement SPACE	15,13	16,32	0,08	0,50%	0,00	0,00%	0,08	0,50%
Heading 1 - International Organisations - ESA - Copernicus	534,51	347,21	1,53	0,44%	0,00	0,00%	1,53	0,44%
Heading 1 - International Organisations - ESA - IOV/IOD	11,15	11,85	0,06	0,50%	0,00	0,00%	0,06	0,50%
Heading 1 - International Organisations - ESA - GALILEO	22,70	86,33	0,43	0,50%	0,00	0,00%	0,43	0,50%
Heading 1 - International Organisations - ESA - Govsatcom/SSA	3,81	5,59	0,03	0,50%	0,00	0,00%	0,03	0,50%
Heading 1 - International Organisations - ESA - Horizon 2020/Europe	32,81	30,49	0,15	0,50%	0,00	0,00%	0,15	0,50%
Heading 1 - International Organisations - ESA - IRIS2	28,00	0,00	0,00	0,50%	0,00	0,00%	0,00	0,00%
Heading 1 - International Organisations - Copernicus - Mercator	27,74	23,46	0,03	0,13%	0,00	0,00%	0,03	0,13%
Heading 1 - International Organisations - Copernicus - ECMWF	39,89	34,61	0,17	0,50%	0,00	0,00%	0,17	0,50%
Heading 1 - International Organisations - Copernicus - EUMETSAT	79,75	77,36	0,39	0,50%	0,00	0,00%	0,39	0,50%
Heading 1 - International Organisations - Copernicus - EEA	13,74	9,71	0,11	1,14%	0,00	0,00%	0,11	1,14%
Heading 1 - International Organisations - Copernicus - EMSA	12,96	12,23	0,06	0,50%	0,00	0,00%	0,06	0,50%
Heading 1 - International Organisations - Copernicus - SatCen	4,53	0,96	0,00	0,50%	0,00	0,00%	0,00	0,50%
Heading 1 - International Organisations - Copernicus - Frontex	14,67	5,94	0,03	0,50%	0,00	0,00%	0,03	0,50%
Heading 1 - EUSPA - Subsidy	76,92	65,24	0,33	0,50%	0,00	0,00%	0,33	0,50%
Heading 1 - EUSPA - EGNOS	104,25	197,86	1,70	0,86%	0,00	0,00%	1,70	0,86%
Heading 1 - EUSPA - GALILEO	1 261,37	886,95	6,74	0,76%	0,00	0,00%	6,74	0,76%
Heading 1 - EUSPA - Govsatcom/SSA	7,39	1,39	0,01	0,50%	0,00	0,00%	0,01	0,50%
Heading 1 - EUSPA - H2020/Europe - downstream	31,28	23,06	0,36	1,55%	0,00	0,00%	0,36	1,55%
Heading 1 - Administrative expenses	3,12	3,12	0,02	0,50%	0,00	0,00%	0,02	0,50%
Heading 3 - Grants SPACE	0,00	0,30	0,00	0,50%	0,00	0,00%	0,00	0,50%
Heading 3 - Procurement SPACE	0,26	0,26	0,00	0,50%	0,00	0,00%	0,00	0,50%
Heading 5 - Grants DEFENCE	342,38	94,69	0,47	0,50%	0,00	0,00%	0,47	0,50%
Heading 5 - Procurement DEFENCE	1,86	1,64	0,01	0,50%	0,00	0,00%	0,01	0,50%
Heading 5 - International Organisations - OCCAR	145,25	28,96	0,14	0,50%	0,00	0,00%	0,14	0,50%
Heading 5 - International Organisations - EDA	36,92	10,79	0,05	0,50%	0,00	0,00%	0,05	0,50%
Heading 5 - Administrative expenses	0,64	0,64	0,00	0,50%	0,00	0,00%	0,00	0,50%
Heading 7 - Administrative expenses	0,01	0,01	0,00	0,50%	0,00	0,00%	0,00	0,50%
DG total	2 903,84	1 981,24	12,93	0,65%	0,00	0,00%	12,93	0,65%

The estimated overall risk at payment for 2023 expenditure, 0.65%, is the AOD's best conservative estimate of the amount of relevant expenditure during the year, not in conformity with the contractual and regulatory provisions applicable at the time the payment was made. This expenditure will subsequently be subject to ex-post controls and a proportion of the underlying errors will be detected and corrected in subsequent years, corresponding to the conservatively estimated future corrections for 2023 expenditure, 0%.

The difference between those two, results in the estimated overall risk at closure ⁽³⁸⁾, 0.65%. This is a small increase compared to 2022 (0.30%) mainly due to a higher error rate on EUSPA's contribution agreements on Galileo/EGNOS and on EEA.

For an overview at Commission level, the departments' estimated overall risk at payment, estimated future corrections and risk at closure are consolidated in the AMPR.

⁽³⁸⁾ This is the AOD's best, conservative estimation of the expenditure authorised during the year that would remain not in conformity of applicable regulatory and contractual provisions by the end of implementation of the programme.

6) Preventive and corrective measures

As regards the corrections carried out in 2023, DG DEFIS has in place an effective mechanism for correcting errors, through ex-ante and ex-post controls, resulting in preventive measures, amounting to EUR 5.32 million. On the ex-post controls no corrective measures took place. This is similar to last year with EUR 6.23 million. This represents a decrease compared to N-1, with EUR 0.9 million which is mostly explained by the long-term effect of continuous audits on their cost reporting and internal control mechanisms over the years.

b) Fraud prevention, detection and correction

DG DEFIS has developed and implemented its own anti-fraud strategy since 2020, based on the methodology provided by OLAF. It is updated usually every two years and the last revised version was adopted in 2023. Considering the increasing volume of actions under direct management with the implementation of the EDF programme, DG DEFIS will review it in 2024 in collaboration with OLAF services.

DG DEFIS contributed indirectly to the revised Commission anti-fraud strategy Action Plan of July 2023, as it had no specific actions assigned, and to the Anti-Fraud Strategy methodology for decentralised agencies. DG DEFIS had one financial recommendation – with no recovery order to be issued – which was implemented, as the related legal commitments ended at the end of 2023.

In line with the two actions identified in the action plan of DG DEFIS' Anti-Fraud Strategy, staff awareness is raised through the publication of both the Anti-Fraud Strategy and the list of ethics training on DG DEFIS intranet. In addition, newcomers are following ethic trainings as part of the initial corporate training package.

Based on the results achieved during the year and available information, DG DEFIS has reasonable assurance that the anti-fraud measures in place are overall effective.

c) Safeguarding of assets and information (if applicable)

Valuation and Safeguarding of assets and information

The total asset value on the Balance Sheet at end 2023 is EUR 12.480 billion. The non-current assets amount to EUR 9.391 billion of intangible assets, property plant and equipment and long-term pre-financing (EUR 433 million).

The property, plant and equipment balance (EUR 8.957 billion) is the most material one in DEFIS Balance Sheet. It includes the value of the assets generated by the implementation of EU space programme (namely: Galileo, EGNOS and Copernicus). By end of 2023, the gross assets values for the different components of this programme are:

- EUR 7.760 billion for Galileo;
- EUR 5.130 billion for Copernicus; and
- EUR 667 million for EGNOS.

The depreciation charge related to these space assets amounted to EUR 785 million for 2023.

During 2023, the controls performed on the data provided by ESA and EUSPA for the valuation of the space assets were maintained. Specific workshops on the operational stages of asset development were organised by DG DEFIS to discuss per programme the costs to be capitalised and the stages of operational development as well as the state of play regarding the inspections of these assets. These inspections aim at verifying primarily the precise location and configuration of assets and secondly the adequate safeguarding of assets. Relevant reports did not reveal any issues affecting the adequate safeguarding of assets.

d) Reliability of reporting (if applicable)

Reliability of reporting

DG DEFIS delegates a large part of its budget implementation to external entities (a major exception being actions in support of defence industry). In addition to the pillar assessment of these entities (except EU decentralised agencies) prior to the conclusion of any contribution agreement, DG DEFIS also relies on the declarations of assurance and on the unqualified audit opinions provided every year. All controls performed by DG DEFIS on ex-ante and ex-post level revealed overall no material misstatements on the accounts presented by the entrusted entities under the programmes managed by DG DEFIS.

2.1.2. Efficiency of controls

DG DEFIS manages a large portfolio of heterogeneous activities in the defence industry and space sectors, involving different ways of implementation. Based on an assessment of the most relevant key indicators and control results, DG DEFIS has assessed the efficiency of the control system and reached a positive conclusion.

Timely payments: In 2023, DG DEFIS ensured efficient processing of payments within the legal deadline. The corporate indicator for **timely payments**, reaches 100%.

Timely Payments	DEFIS Score	EC Score
0%25%50%75%100% EC (99%)100%	100%	99%

Procurements: The average time to publication in 2023 is relatively high (187 days) due to the complexity of the call for tenders with restricted access to the market

Grants: In 2023, we signed the grant agreements of the EDF calls of 2022, with an average time to grant of 374 days, which is in line with the figure of last year (354 days).

The signature of the EDF grants takes an important amount of time due to the double comitology, the security classification, the high complexity of the programme and the validation/input from Member States during grant agreement preparation.

2.1.3. Economy of controls

The cost of controls at Commission level is assessed by the cost of the different control stages. The assessment for each management mode is obtained from the ratio between these costs and the total amount paid in the year for the related management mode. The cost of control for assets is not reported as they are included in the supervision costs of entrusted entities.

Cost of control - direct management ⁽³⁹⁾

DG results for the reporting year - Direct management		
Common indicators on cost of control	Grants	Procurements
Percentage of overall cost of control of grant / procurement process in comparison to total expenditure <u>executed</u> during the year	2,02%	2,38%
Overall cost of control (grant/procurement)	€ 7.926.634	€ 1.918.415
Average number of ongoing contracts (grant/procurement) managed per full time equivalent	2,99	4,18
Percentage of costs of control related to the evaluation and selection procedure in comparison to the total value of grants / procurement contracted	0,59%	11,2%
Average value of ongoing grant / procurement agreements managed per full time equivalent	€ 41.982.850	€ 2.287.381
Average project management costs per ongoing grant / procurement agreement	€ 50.169	€ 26.280
Total Costs of ex post audits	€ 0	

Cost of control - indirect management

DG results for the reporting year - Indirect management											
Common indicators on cost of control	International Organisations and other entrusted entities										
Overall cost of control of supervision process	€ 4.075.138										
Percentage of overall cost of control of supervision process in comparison to the total annual amount delegated excluding any remuneration paid	0,18%										
Remuneration fees paid (to international organisations, agencies, EIF)	€ 285.854.143										
	ESA	Eumetsat	ECMWF	Mercator	EEA	Frontex	EMSA	Satcen	EUSPA	EDA	OCCAR
	€ 194.954.802	€ 18.466.264	€ 3.658.000	€ 4.395.799	€ 1.667.000	€ 60.000	€ 164.000	€ 1.610.000	€ 59.066.365	€ 313.236	€ 1.498.677
Percentage of cost of remuneration fees paid to entrusted entities in comparison to the total annual amount delegated excluding any remuneration paid	12,97%										
Percentage of costs of control related to the establishment or prolongation in comparison to the total annual amount delegated	0,02%										
Percentage of costs of control related to the reporting and subsequent monitoring of the execution in comparison to all payments executed	0,147%										
Total cost of ex post audits	€ 217.770										

The overall costs of control for direct management have increased by more than fifty percent (from 1.55% to 2.38 %) due to the increase of activities related to defence programmes and

⁽³⁹⁾ Details of the estimated cost related to shared/pooled control activities carried out by DG REA and hosted by DG RTD (Common Implementation Centre including Common Audit Service) for the Research and Innovation family are reported in the annual activity reports of DG REA and DG RTD)

the preparation and monitoring of the secured connectivity concession contract that will be awarded only in 2024.

The control strategy for direct and indirect management is cost-effective overall, as their benefits outweighs the cost of controls considering the major responsibilities of DG DEFIS especially in the space field.

The 'remuneration fees' paid to international organisations increased slightly compared to last year, mainly due to the delegated technical tasks, the technical specificities of the EU space programme and the ramp-up phase of some space entrusted entities.

2.1.4. Conclusion on the cost-effectiveness of controls

Based on the most relevant key indicators and control results, DG DEFIS has assessed the effectiveness, efficiency and economy of its control system and reached a positive conclusion on the cost-effectiveness of the controls for which it is responsible.

DG DEFIS is of the opinion that the current control system is well suited for fulfilling the relevant control objectives efficiently and at a reasonable cost. It represents a good balance between the invested efforts (internal control costs and remuneration fees), the obtained error rates (effectiveness of controls) and delivery of objectives (efficiency). The declaration of assurance (Section 2.1.5) includes no reservation for the expenditure categories or control systems concerned.

2.2. Audit observations and recommendations

This section sets out the observations, opinions and conclusions reported by auditors – including the limited conclusion of the Internal Auditor on the state of internal control. Summaries of the management measures taken in response to the audit recommendations are also included, together with an assessment of the likely material impact of the findings on the achievement of the internal control objectives, and therefore on management's assurance.

Internal Audit Service (IAS)

In its contribution to the 2023 AAR of DG DEFIS, IAS concluded that the internal control systems in place for the audited processes were effective, except for the observation described hereafter.

The IAS completed in 2022 the audit on the preparedness of DG DEFIS for the management of the European Defence Fund. A very important recommendation was issued to improve the controls in place for the validation of the SMEs and mid-cap companies' status. The actions planned in response have been completed, assessed by IAS and declared fully implemented.

In 2023, the Internal Auditor concluded an audit on the preparedness of DEFIS' management and control systems for the 2021-2027 Space programme implementation. A

recommendation was issued, linked to the delay in signing some of the security management plans established by the financial framework partnership agreement with ESA and EUSPA. DG DEFIS set up a detailed action plan, entailing: (i) the preparation of the security management plan for Copernicus; (ii) the completion of the individual security management plans for Copernicus, Galileo and EGNOS, to be adopted by each of the entities involved. Corrective measure (i) has been completed in January 2024. The implementation of corrective measure (ii) is ongoing with a completion foreseen for June 2024.

European Court of Auditors (ECA)

On 5 October 2023, the ECA adopted its Annual Report 2023 on the performance of the EU Budget. In the framework of the Statement of Assurance for the financial year 2022, DG DEFIS was audited in respect of the supervisory and control systems, receiving from the Court a clear opinion. DG DEFIS Annual Activity Report (AAR) was assessed appropriate to provide a fair assessment of the financial management in relation to the regularity of underlying transactions.

The Annual report concerning the 2022 financial year (ECA Statement of Assurance (DAS) 2021) was published by ECA on 05/10/2023. This report does not make specific reference to DG DEFIS. Indeed, the audit of transactions managed by DEFIS in the frame of the audit pertaining to ECA's statement of assurance for the financial year 2022 did not lead to any finding.

Regarding the ECA specific audits, the final report for the audit concerning the Preparatory Action on Defence Research, was published by the Court in April 2023. No critical or very important recommendations have been reported. DG DEFIS is working on the implementation of the other recommendations issued.

2.3. Assessment of the effectiveness of internal control systems

The Commission has adopted an Internal Control Framework based on international good practice, to ensure the achievement of its policy and management objectives. Compliance with the internal control framework is a compulsory requirement. DG DEFIS uses the organisational structure and the internal control systems suited to achieving its policy and internal control objectives in accordance with the internal control principles and has due regard to the risks associated with the environment in which it operates.

To implement the Space Programme, DG DEFIS largely relies on entrusted entities and regulatory agencies, and works in close cooperation with various partners and international organisations. Looking at Defence Industry, the Commission has increased its effort with the adoption of the EDF in 2021, followed by the adoption of the ASAP and EDIRPA regulations in 2023, which are mainly implemented through direct management. Concerning the overall state of the internal control system, DG DEFIS complies with the three assessment criteria for effectiveness, i.e. (a) staff has the required knowledge and skills, (b) systems and procedures are designed and implemented to manage the key risks effectively, and (c) any

possible instance of ineffective controls is timely analysed and corrected. Every year, the Acting Director in charge of Risk Management and Internal Control reports on the state of internal control and provides her opinion to the Director-General, considering any possible recommendation received either from IAS or ECA.

DG DEFIS has assessed its internal control system during the reporting year and has concluded that it is effective, and the components and principles are present and functioning well overall. However, some improvements are needed as minor deficiencies were identified related to the internal control principles 17, regarding the timeline for implementing remedial actions following recommendations from IAS or ECA.

2.4. Conclusions on the assurance

The above-mentioned approach provides sufficient guarantees as to the completeness and reliability of the information reported and results in a comprehensive coverage of the budget delegated to the Director-General of DG DEFIS.

In conclusion, based on the elements reported above, management has reasonable assurance that, overall, suitable controls are in place and working as intended; risks are being appropriately monitored and mitigated; and necessary improvements and reinforcements are being implemented. The Director-General, in his capacity as Authorising Officer by Delegation has signed the Declaration of Assurance.

2.5. Declaration of Assurance

I, the undersigned,

Director-General of DG DEFIS,

In my capacity as authorising officer by delegation

Declare that the information contained in this report gives a true and fair view ⁽⁴⁰⁾.

State that I have reasonable assurance that the resources assigned to the activities described in this report have been used for their intended purpose and in accordance with the principles of sound financial management, and that the control procedures put in place give the necessary guarantees concerning the legality and regularity of the underlying transactions.

This reasonable assurance is based on my own judgement and on the information at my disposal, such as the results of the self-assessment, ex-post controls, the work of the Internal Audit Service and the lessons learnt from the reports of the Court of Auditors for years prior to the year of this declaration.

Confirm that I am not aware of anything not reported here which could harm the interests of the institution.

Brussels, 04 April 2024

e-signed

Timo PESONEN

⁽⁴⁰⁾ True and fair in this context means a reliable, complete and correct view on the state of affairs in the DG/Executive Agency.

3. MODERNISING THE ADMINISTRATION

3.1. Human resource management

DG DEFIS is supporting innovation and technological developments in the high-tech sectors of space and defence industry. Ensuring that the necessary expertise is available within the DG is a key aspect of HR management. Expertise is provided through a large presence of seconded national experts (17% of staff) and in-house knowledge of technically trained staff. This expertise will be reinforced by the selection of officials through specialised EPSO competitions (published in July 2022 and finalised in November 2023) to attract highly skilled candidates with experience in the field of space and defence.

DG DEFIS launched in 2023 '**Task Force Defence Industrial Reinforcement for EU and Ukraine**' that will continue to deliver in the first half of 2024. ASAP is a direct response to the Council's call to urgently deliver ammunition, and if requested missiles, to Ukraine and to help Member States refill their stocks. DG DEFIS has set up of a Task Force to urgently implement this instrument under direct management by calling the most experienced colleagues from other services of the European Commission and the Executive Agencies.

Internal communication activities continued to keep staff well informed about the latest developments, i.e. via the weekly internal newsletters 'DEFIS BUZZ', the organisation of DG DEFIS' lab seminar and regular staff meeting(s) with the Director-General. One **dedicated seminar for newcomers** was organised in physical form in 2023 to allow staff to have a good knowledge overview of DG DEFIS activities and to connect with colleagues.

DG DEFIS aims at further increasing the overall staff engagement that is biennially recorded through the staff survey.

3.2. Digital transformation and information management

Implementation of the EC Digital Strategy

Throughout 2023, the transition of the **Information Resources Manager** (IRM) role from DG GROW to DG DEFIS was successfully completed, leading to the standardisation of IT systems and an overall improvement in accuracy and consistency. This shift allowed DG DEFIS to operate the implementation of the **digital strategy principles**, resulting in better integration and interoperability across different systems and platforms, ultimately enhancing the user experience.

The incorporation of digital strategy principles into key IT solutions within DG DEFIS, such as DEFEND-S, Copernicus Land Monitoring System-Hot Spot, and Copernicus Emergency Management System-Rapid Mapping, has facilitated substantial advancements toward a user-centric approach. Embracing core principles such as Re-Use, Before Buy, Before Build, DG DEFIS has been able to provide more interoperable and secure IT solutions. Despite being

a small DG with limited IT resources, the dual-pillar approach was prioritised to ensure efficient implementation of IT systems.

In 2023, DG DEFIS achieved notable advancements in its **Digital Transformation efforts**, particularly in using innovative technologies such as **Artificial Intelligence** (AI), adopting a **cloud-first approach**, and collaborating with inter-disciplinary teams to simplify the implementation of systems. The successful implementation of the **EUDIS coaching platform** serves as an example of this approach.

Regarding **IT security**, DG DEFIS has made significant strides in improving its cybersecurity risk and maturity. The throughput of the year 2023 led to significant improvement on the classification within the **Risk Maturity Quadrant** (RMQ), where DG DEFIS was labelled as a **“low risk, high maturity” DG**. This progress was achieved through the development and submission of updated IT security plans and compliance status reports for all IT systems owned by the DG, as well as close collaboration with DG DIGIT to leverage corporate solutions and methodologies for IT security reporting.

Continuing its efforts from 2022, DG DEFIS has also been diligently applying the **"Data governance and data policies at the European Commission"** principles to its key data assets.

Security of information

In the field of the defence and space industries, the security of information is of paramount importance. In 2023, as part of the re-organisation of DG DEFIS, **a new sector** was created as an evolution of the Task Force with a dedicated focus on information security, reporting directly to the General Director. DG DEFIS consistently improves its security measures by aligning with the corporate information security strategy guidance.

As part of its ongoing efforts, DG DEFIS has **continuously strengthened the physical security of its facilities** through the establishment of new task forces and teams. Additionally, it has bolstered internal policy monitoring, mandating that personnel hold valid security clearance or undergo vetting.

Emphasising security awareness, DG DEFIS encourages staff to participate in security training offered by DG HR and ensures they are regularly briefed on emerging security threats. Internal circulation of security reports aims to raise awareness among DG DEFIS management regarding security concerns.

Data Protection

In 2023, the **Data Protection** Coordinator (DPC) for DEFIS contributed to the implementation of the Commission's Data Protection Action Plan through the following actions:

- awareness raising activities to promote corporate initiatives, i.e. the international Data Protection Day on the 27 January 2023 with a Data Protection Coffee, to which

all DEFIS staff was invited. During the coffee, colleagues were able to take a quiz to test their knowledge on the main principles of data protection;

- Ongoing promotion of Data Protection courses on EULearn by mailing to all DEFIS staff.
- advisory support for units to improve overall compliance to the data protection rules and obligations, i.e. for the creation or update of records and privacy statements, as well as advice on the conformity of IT systems, IT projects and websites with data protection rules and in particular when transferring personal data to third countries or using international cloud services.

3.3. Sound environmental management

During the reporting year, DG DEFIS continue to work on the roadmap for implementing a sector-specific category rules (e.g. PEFCR) for the EU space sector activities and preparing the contractual procedure to be launched in 2024. This would allow further developments of life cycle environmental footprint of European space activities and sector-specific environmental footprint methodology.